

26NWCV00048 26NWCV00048

County: los-angeles

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Case Number: 26NWCV00048 Hearing Date: August 4, 2026 Dept: SED

DONNA NEWBURN V.

HYUNDAI MOTOR AMERICA

CASE NO.: 26NWCV00048

HEARING: 08/04/2026 @

9:30 a.m.

#10

TENTATIVE ORDER

Defendant Hyundai Motor

America's unopposed motion to compel arbitration is GRANTED.

The action is STAYED pending completion of arbitration.

Moving party to give notice.

Defendant Hyundai Motor America

(Defendant) moves for an order to compel Plaintiff Donna Newburn (Plaintiff) to arbitrate her claims against Defendant. Defendant also requests staying this action pending the outcome of the arbitration.

Legal Standard

Parties may be compelled to

arbitrate a dispute upon the court finding that: (1) there was a valid

agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Code Civ. Proc., § 1281.2; see also *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 356-57.)

"If a court of competent jurisdiction. . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc., § 1281.4.)

Request for Judicial Notice

Defendant requests judicial notice of Plaintiff's Complaint.

The Court GRANTS Defendant's request. (Evid. Code § 452(d), (h).)

Analysis

Defendant moves to compel Plaintiff to arbitrate her claims.

Defendant argues Plaintiff entered into two separate agreements containing arbitrations provisions: (1) Hyundai Owner's Handbook & Warranty Information (Handbook & Warranty) that accompanied the sale of the Subject Vehicle and (2) Defendant's Bluelink Connected Services Agreement (CSA) as part of enrollment into Defendant's connected services.

Validity of the Arbitration

Agreement in the Handbook & Warranty

The Handbook & Warranty contains an arbitration provision. (Ameripour Decl., ¶ 3, Ex.

3.) In relevant part, the Handbook &
Warranty provides:

BINDING ARBITRATION FOR
CALIFORNIA VEHICLES ONLY

PLEASE READ

THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS THIS SECTION DOES NOT
PRECLUDE YOU FROM FIRST PURSUING ALTERNATIVE DISPUTE RESOLUTION THROUGH BBB
AUTO LINE AS DESCRIBED IN THE "ALTERNATIVE DISPUTE RESOLUTION" PROVISION IN
SECTION 3 OF THIS HANDBOOK.

If you purchased
or leased your Hyundai vehicle in the State of California, you and we, Hyundai
Motor America, each agree that any claim or disputes between us (including
between you and any of our affiliated companies) related to or arising out of
your vehicle purchase, advertising for the vehicle, use of your vehicle, the
performance of the vehicle, any service relating to the vehicle, the vehicle
warranty, representations in the warranty, or the duties contemplated under the
warranty, including without limitation claims related to false or misleading
advertising, unfair competition, breach of contract or warranty, the failure to
conform a vehicle to warranty, failure to repurchase or replace your vehicle,
or claims for a refund or partial refund of your vehicle's purchase price
(excluding personal injury claims), but excluding claims brought under the
Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either
your or our election, even if the claim is initially filed in a court of law. If
either you or we elect to resolve our dispute via arbitration (as opposed to in
a court of law), such binding arbitration shall be administered by and through
JAMS Mediation, Arbitration and ADR Services (JAMS) under its Streamlined
Arbitration Rules & Procedures, or the American Arbitration Association
(AAA) under its Consumer Arbitration Rules.

[...]

This agreement
to arbitrate is intended to be broadly interpreted and to make all disputes and
claims between us (including our affiliated companies) relating to or arising
out of your vehicle purchase, use or performance of your vehicle, or the
vehicle warranty subject to arbitration to the maximum extent permitted by law.
The arbitrator (and not a court) shall decide all issues of interpretation,

scope, and application of this agreement.

[...]

IF YOU

PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Id. at pp. 14-16.)

Defendant argues that the FAA requires enforcement of Plaintiff's arbitration agreement because (1) the arbitration provision is in writing and (2) the purchase of an automobile is a transaction involving interstate commerce. Defendant further contends that the Warranty expressly provides that it is governed by the FAA, and California law likewise requires enforcement of valid arbitration agreements. According to Defendant, the arbitration provision is enforceable because there are no grounds for revocation, such as fraud, duress, or unconscionability, and any doubts concerning arbitrability must be resolved in favor of arbitration.

While the Court finds that

Defendant met its initial burden by producing the Handbook & Warranty, and Plaintiff filed no opposition, Defendant fails to establish, with admissible evidence, that the parties mutually assented to arbitration based on the Handbook & Warranty. "General principles of contract law determine whether the parties have entered a binding agreement to arbitrate." (Craig v. Brown & Root, Inc. (2000) 84 Cal.App.4th 416, 420.) "An essential element of any contract is the consent of the parties, or mutual assent." (Donovan v. RRL Corp. (2001) 26 Cal.4th 261, 270.) Defendant does not show that the arbitration provision constituted an offer to which Plaintiff assented. (Norcia v. Samsung Telecommunications America, LLC (9th Cir. 2017) 845 F.3d 1279, 1291 [offeree, regardless of apparent manifestation of her consent, is not bound by inconspicuous contractual provisions of which she was unaware, contained in a document whose contractual nature is not obvious].)

Accordingly, the Court finds that

Defendant has not established the validity of the Handbook & Warranty arbitration provision and therefore proceeds to consider whether the CSA independently establishes an enforceable agreement to arbitrate.

Validity of the Arbitration

Agreement in the CSA

Defendant additionally seeks to compel arbitration based on the CSA. The arbitration provision in the CSA provides:

14.

RESOLVING DISPUTES.

C. Binding Arbitration [...]

Arbitration Agreement:

(a)

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law...The agreement to arbitrate otherwise includes, but is not limited to: claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising); claims that are currently the subject of purported class action litigation in which you are not a member of a certified class; claims relating to the Vehicle for which you seek product or service support via the sites; claims arising out of or relating to the Telephone Consumer Protection Act; claims relating to your data privacy or information security; and claims that may arise after the termination of this Agreement.

For

purposes of this arbitration provision, references to “Hyundai,” “you,” and “us” shall include our respective parent entities, subsidiaries, affiliates, agents, employees, predecessors in interest, successors and assigns, websites of the foregoing, as well as all authorized or unauthorized users or beneficiaries of services, products or information provided or made available under this or prior Agreements between us relating to or arising from any aspect of your use of the Connected Services, Connected Service Systems, Service Plans, the Vehicle or access of the sites. Notwithstanding the foregoing, either party may bring an individual action in small claims court. You agree that, by entering into this Agreement, you and Hyundai are each waiving the right to a trial by jury or to participate in a class or representative action to the maximum extent permitted by law. This Agreement evidences a transaction in interstate commerce, and thus the Federal Arbitration Act governs the interpretation and enforcement of this arbitration provision. This arbitration provision shall survive termination of this Agreement or your relationship with Hyundai for any reason.

(Rao Decl., ¶ 6, Ex. 2.)

As to mutual assent, Defendant

submits the declaration of Vijay Rao, the Director of Connected Ops & Owner Apps/Web for Hyundai Motor America, who describes the process by which customers enroll in Hyundai's Bluelink services and assent to the CSA. (Rao Decl., ¶ 1.) Mr. Rao states that customers must agree to

the then-effective CSA to enroll in Bluelink services, that Plaintiff enrolled the subject vehicle in Bluelink services on May 18, 2024, and that Plaintiff would have been required to check a box acknowledging that Plaintiff had “read and agree[d] to the Blue Link Terms & Conditions” before clicking the “Complete” button. (Id. at ¶¶ 4-6.)

Defendant contends this is a

“clickwrap” agreement. “[C]lickwrap’

agreements” occur when “a website presents users with specified contractual terms on a pop-up screen and users must check a box explicitly stating ‘I agree’ in order to proceed. [Citation.] In that scenario, the consumer has received notice of the terms being offered and, in the words of the Restatement, ‘knows or has reason to know that the other party may infer from his conduct that he assents’ to those terms.” (Berman v.

Freedom Fin. Network, LLC (9th Cir. 2022) 30 F.4th 849, 856, quoting Restatement (Second) of Contracts, § 19(2).)

According to Mr. Rao, the "Terms & Conditions" included a hyperlink to the CSA, the acknowledgment box was not prepopulated, and a customer could not successfully activate Bluelink services without checking the box acknowledging agreement to the Terms and Conditions. (Rao Decl., at ¶ 6.)

The arbitration provision broadly applies to "any and all disputes and claims" arising out of or relating to the CSA, the Connected Services, the Vehicle, or Hyundai's products and services. It further provides that the agreement to arbitrate "includes, but is not limited to: claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory." (Rao Decl., ¶ 6, Ex. 2, emphasis added.) The Court finds that the CSA expressly applies to Plaintiff's claims under the Song-Beverly Act.

Therefore, Defendant has established that an agreement to arbitrate exists based on the CSA which is governed by the FAA.

Accordingly, Defendant's motion to compel arbitration is GRANTED.

Motion to Stay Proceedings

California Code of Civil Procedure section 1281.4 states that the court shall stay the action or proceeding if the court has ordered arbitration. (Code Civ. Proc., § 1281.4.)

Accordingly, the Court will STAY proceedings pending arbitration.

Conclusion

Based on the foregoing, Defendant Hyundai Motor America's unopposed motion to compel arbitration is GRANTED.

The action is STAYED pending

completion of arbitration.